Block practice · Break-even output, charts and usefulness

Work through each question type in order. Each section has a worked-example retry and all further practice. Attempt only the part outlined in red.

Break-even output using contribution

Break-even: meaning, charts and usefulness

OLevels.com SCHOOL

Practice workbook · Break-even output using contribution

Finding break-even level of output as fixed costs divided by contribution per unit (price minus variable cost per unit).

9 question parts: 1 worked-example retry and 8 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

OLevels.com SCHOOL

Type ID: BUS-CALC-06

1. Question 4 · part a · 2 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part a only.

4 *PPS* is planning to introduce a new line of dog treats. **Figure 4** shows some financial information for this product.

	€
Monthly fixed costs	1 000
Variable cost per unit	3.25
Selling price	4.50

Figure 4

(a) Calculate the break-even level of output for this new line of dog treats. You are advised to show your working.

(2)

..... dog treats

OLevels.COM SCHOOL

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

1. Question 4 · part a · 2 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part a only.

(b) Analyse the importance of cash to *PPS*.

(6)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

1. Question 4 · part a · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

2. Question 3 · part c · 2 marks

2019 JUN · Paper 01

Further practice · Attempt part c only.

3 *Backyard Shoez* is analysing its financial position before it begins selling shoes to men and children.

(a) Define the term **profit**.

(1)

(b) Outline **one** impact on *Backyard Shoez* if interest rates increase.

(2)

Backyard Shoez's monthly fixed costs are 100 000 Ks with a variable cost of 3 500 Ks for a pair of shoes, at a selling price of 4 300 Ks.

(c) Calculate the break-even point. You are advised to show your working.

(2)

Ks

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

OLevels.COM — SCHOOL —

2. Question 3 · part c · 2 marks

2019 JUN · Paper 01

Further practice · Attempt part c only.

(d) Analyse the benefits to *Backyard Shoez* of using break-even analysis to plan the launch of its new shoes for men and children.

(6)

OLevels.com SCHOOL

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

2. Question 3 · part c · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

3. Question 4 · part a · 2 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part a only.

4 (a) Calculate the number of people needed to break-even for this course. You are advised to show your workings.

(2)

..... people

WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

3. Question 4 · part a · 2 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part a only.

(b) Analyse the benefits for *Loaf* of employing casual staff.

(6)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

3. Question 4 · part a · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

4. Question 3 · part c · 2 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part c only.

3 *HRMW* employs staff to design the products it manufactures. The aim is to add features so that the products are better than any others on the market.

(a) Define the term **e-tailers**.

(1)

(b) Outline **one** reason why *HRMW* uses robotics in the production of its goods.

(2)

If *HRMW* produce tennis racquets with the following costs:

Fixed costs = 300 000 Rupees

Variable costs = 3 000 Rupees

Sale price = 5 000 Rupees

(c) Calculate the number of tennis racquets that would have to be made to break-even. You are advised to show your working.

(2)

..... Tennis racquets

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

4. Question 3 · part c · 2 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part c only.

(d) Analyse the limitations for *HRMW* of using break-even charts when planning the manufacture of tennis racquets.

(6)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

4. Question 3 · part c · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

5. Question 3 · part c · 2 marks

2021 JUN · Paper 01

Further practice · Attempt part c only.

3 (a) Define the term **remuneration**.

(1)

(b) Outline **one** reason why *NOF* would choose to use seasonal staff when harvesting its products.

(2)

NOF is looking to expand its product range by making and selling tubs of ice cream.

A tub of ice cream will sell for £2.50.

Variable costs will be £1.10 per tub of ice cream with fixed costs of £77 per day.

(c) Calculate the number of tubs of ice cream *NOF* will have to sell each day to break-even. You are advised to show your working.

(2)

.....Tubs of ice cream

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

5. Question 3 · part c · 2 marks

2021 JUN · Paper 01

Further practice · Attempt part c only.

(d) Analyse how useful break-even calculations can be for *NOF* when deciding whether to include ice cream in its product range.

(6)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

P 6 6 4 7 2 A 0 1 3 2 0

13

Turn over

5. Question 3 · part c · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

6. Question 1 · part e · 2 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

1 *Aude Rose* is a flower shop in Paris, France. It was set up by Aude Anglaret after she graduated with a qualification in floristry. It opened a shop in 2009 in the outskirts of Paris. Since then it has gone from strength to strength increasing its market share. To meet this increase in demand it has closed its first shop and opened a larger one in the centre of Paris with a higher rent and a possible increase in customers. It currently employs four florists. *Aude Rose* has been recognised for its high-quality flower arrangements that have been seen in several wedding magazines.

(a) (i) Which **one** of the following describes a minimum wage?

Select **one** answer.

(1)

- ☒ **A** Fixed amount per year and paid monthly
- ☒ **B** The lowest amount a business can legally pay its employees
- ☒ **C** Payment made to an employee for working additional hours
- ☒ **D** Payment made to an employee for reaching a target

(ii) Which **one** of the following describes the cash cow category in the Boston matrix?

Select **one** answer.

(1)

- ☒ **A** High market growth, high market share
- ☒ **B** High market growth, low market share
- ☒ **C** Low market growth, high market share
- ☒ **D** Low market growth, low market share

(iii) Which **one** of the following would give a business a negative cash flow?

Select **one** answer.

(1)

- ☒ **A** Cash inflow is greater than cash outflow
- ☒ **B** Costs are greater than profits
- ☒ **C** Profits are greater than costs
- ☒ **D** Cash outflow is greater than cash inflow

OLevels.COM — SCHOOL —

6. Question 1 · part e · 2 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

(iv) Which **one** of the following is a recruitment document that outlines the tasks and responsibilities of a job?

Select **one** answer.

(1)

- ☒ **A** Job description
- ☒ **B** Person specification
- ☒ **C** Application form
- ☒ **D** Curriculum vitae

To wrap its flowers *Aude Rose* buys 150 metres of wrapping paper from London, England every week at a cost of £0.46 per metre.

In October 2022 the exchange rate was £1 = €1.15

(v) Which **one** of the following is the total cost, in euros, of buying a four week supply of wrapping paper?

Select **one** answer.

(1)

- ☒ **A** €79.35
- ☒ **B** €276.00
- ☒ **C** €317.40
- ☒ **D** €396.75

Aude Rose provides flowers for large events. The most popular is a selection of traditional flowers selling for €65. The cost of making this selection of flowers is €42.

(vi) Which **one** of the following is the markup for a selection of traditional flowers?

Select **one** answer.

(1)

- ☒ **A** 54.76%
- ☒ **B** 64.62%
- ☒ **C** 182.61%
- ☒ **D** 282.61%

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

6. Question 1 · part e · 2 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

(b) Define the term **economies of scale**.

(1)

(c) Define the term **stakeholder**.

(1)

(d) State **one** benefit to *Aude Rose* of using just-in-time (JIT) production.

(1)

OLevels.com SCHOOL

Aude Rose has fixed costs of €50 000 a year with a selling price of €50 and a variable cost of €10 per bunch of flowers sold.

(e) Calculate how many bunches of flowers *Aude Rose* will have to sell to break-even. You are advised to show your working.

(2)

..... bunches of flowers

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

P 7 2 9 5 2 A 0 5 2 0

5

Turn over

6. Question 1 · part e · 2 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

(f) Explain **one** reason why a business might fail.

(3)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

6

P 7 2 9 5 2 A 0 6 2 0

6. Question 1 · part e · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

7. Question 1 · part a.vi · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part a.vi only.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

1 *Irsi Chocolatier* is a chocolate shop in Brussels, the capital city of Belgium. There are many other chocolate shops nearby. Opened in 1989 by the Corne family the business now has four directors and three employees. Florent Corne is the Managing Director with three other family members as Directors. *Irsi Chocolatier* opens from Tuesday till Saturday. The shop sells a variety of handmade chocolates and jelly fruit sweets. It delivers locally and has a website for information purposes only.

(a) (i) Which **one** of the following functions is responsible for public relations?

Select **one** answer.

(1)

- ☒ **A** Human resources
- ☒ **B** Finance
- ☒ **C** Marketing
- ☒ **D** Production

(ii) Which **one** of the following is the difference between cash inflow and cash outflow?

Select **one** answer.

(1)

- ☒ **A** Opening balance
- ☒ **B** Net cash flow
- ☒ **C** Closing balance
- ☒ **D** Cash flow forecast

(iii) Which **one** of the following is the sector that converts raw materials into products?

Select **one** answer.

(1)

- ☒ **A** Public
- ☒ **B** Tertiary
- ☒ **C** Primary
- ☒ **D** Secondary

OLevels.com SCHOOL

7. Question 1 · part a.vi · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part a.vi only.

(iv) Which **one** of the following is an example of a good?

Select **one** answer.

(1)

- ☒ **A** Motor vehicle
- ☒ **B** Financial advice
- ☒ **C** Car washing
- ☒ **D** Gardening

In 2021 *Irsi Chocolatier*'s revenue was €311 625. Each year it has seen its revenue increase.

(v) Which **one** of the following would be a 3% increase in revenue for *Irsi Chocolatier*?

Select **one** answer.

(1)

- ☒ **A** €317 857.50
- ☒ **B** €319 415.63
- ☒ **C** €320 973.75
- ☒ **D** €322 531.88

Irsi Chocolatier's monthly fixed costs are €950 and variable costs per luxury box of chocolates are €2.60.

(vi) Which **one** of the following is the break-even point when a box of luxury chocolates is priced at €15.10?

Select **one** answer.

(1)

- ☒ **A** 75
- ☒ **B** 76
- ☒ **C** 77
- ☒ **D** 78

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

7. Question 1 · part a.vi · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part a.vi only.

(b) Define the term **limited liability**.

(1)

(c) Define the term **social enterprise**.

(1)

(d) State **one** way *Irsi Chocolatier* could use the Boston matrix.

(1)

OLevels.com SCHOOL

A customer buying five boxes of chocolates for a total of €75.50 is given a 6% discount.

(e) Calculate, to two decimal places, the cost of these chocolates after the discount has been applied. You are advised to show your working.

(2)

€.....

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

7. Question 1 · part a.vi · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

8. Question 1 · part a.vi · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part a.vi only.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

1 *As We Grow* (*AWG*) is a clothing business in Iceland. The social objective of the business is to use natural materials, such as wool, and produce environmentally friendly products. It aims to design clothes that will last a long time, to encourage families to buy fewer clothes and reduce waste in society.

AWG's increasing product range now includes jumpers, dresses, shirts and baby clothes. These are produced in small workshops that employ family and friends. Waste is kept to a minimum and any leftover material is used to make scarves and hats. The business has one store in Iceland. It uses its website to advertise and sell its clothing online to customers in other countries. The business has received the Icelandic Design Award for its contribution to the environment.

(a) (i) Which **one** of the following is shown on the statement of financial position?

Select **one** answer.

(1)

- ☒ **A** Sales
- ☒ **B** Cost of sales
- ☒ **C** Current assets
- ☒ **D** Gross profit

(ii) Which **one** of the following is an element of the marketing mix?

Select **one** answer.

(1)

- ☒ **A** Price
- ☒ **B** Partnership
- ☒ **C** Production
- ☒ **D** Profit

OLevels.COM SCHOOL

8. Question 1 · part a.vi · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part a.vi only.

A business has fixed costs of £6 000 a month. Variable costs are £5 per unit and 8,000 units are made each month.

(iii) Which **one** of the following is the total monthly cost?

Select **one** answer.

(1)

- ☒ **A** £ 6 005
- ☒ **B** £14 000
- ☒ **C** £30 000
- ☒ **D** £46 000

(iv) Which **one** of the following job roles is most likely to be associated with capital-intensive production?

Select **one** answer.

(1)

- ☒ **A** Hairdresser
- ☒ **B** Car assembly worker
- ☒ **C** Soft fruit picker
- ☒ **D** Chef

(v) Which **one** of the following is an internal source of finance?

Select **one** answer.

(1)

- ☒ **A** Overdraft
- ☒ **B** Venture capital
- ☒ **C** Retained profit
- ☒ **D** Crowdfunding

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

P 7 4 6 3 3 A 0 4 2 0

8. Question 1 · part a.vi · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part a.vi only.

The currency of Iceland is the krona (ISK).

AWG's weekly fixed costs are 440 000 ISK and the variable cost per jumper is 2 500 ISK. Each jumper is sold for 8 000 ISK.

(vi) Which **one** of the following is the weekly break-even point?

Select **one** answer.

(1)

- ☒ **A** 8
- ☒ **B** 55
- ☒ **C** 80
- ☒ **D** 176

(b) Define the term **profit**.

(1)

(c) Define the term **span of control**.

(1)

(d) State **one** likely variable cost for *AWG*.

(1)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

8. Question 1 · part a.vi · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

9. Question 1 · part a.v · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part a.v only.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

1 Gianni Polvani opened his first gym, *Four Fitness*, over 20 years ago. He now employs 14 highly-qualified gym instructors in his two gyms. Both gyms are in Italy, one in Arezzo and the other in Castiglion Fiorentino.

The gym encourages its members to take part in all the physical activities it offers. Members can take part in a number of social activities as well.

Four Fitness has a website which is primarily for information only. The website details such things as opening hours and descriptions of available activities. It cannot be used to book activities or access personal training plans.

(a) (i) Which **one** of the following is a debt payable within 12 months?

Select **one** answer.

(1)

- ☒ **A** Current asset
- ☒ **B** Current liability
- ☒ **C** Non-current asset
- ☒ **D** Non-current liability

(ii) Which **one** of the following is a pricing strategy where a business sets an initial high price for a product new to the market?

Select **one** answer.

(1)

- ☒ **A** Skimming
- ☒ **B** Competition
- ☒ **C** Penetration
- ☒ **D** Cost plus

OLevels.com SCHOOL

9. Question 1 · part a.v · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part a.v only.

(iii) Which **one** of the following is a role of the human resources department?

Select **one** answer.

(1)

- ☒ **A** Reducing costs
- ☒ **B** Designing products
- ☒ **C** Customer service
- ☒ **D** Recruiting employees

(iv) Which **one** of the following is a benefit to a shareholder of having limited liability?

Select **one** answer.

(1)

- ☒ **A** Choosing who can buy shares
- ☒ **B** May build a better relationship with suppliers
- ☒ **C** Own possessions are not at risk
- ☒ **D** Employee motivation will increase

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

9. Question 1 · part a.v · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part a.v only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

Four Fitness is considering introducing sports drinks to sell to its customers and to do this it needs to hire a fridge to store the sports drinks. To decide whether it is a good business decision, it needs to work out the break-even level of output.

Figure 1 shows some financial data to assist this decision.

	€
Fixed costs	280
Variable cost per unit	0.70
Revenue per unit	1.50

Figure 1

(v) Which **one** of the following is the break-even level of output?

Select **one** answer. (1)

- ☒ **A** 280
- ☒ **B** 350
- ☒ **C** 420
- ☒ **D** 616

OLevels.COM SCHOOL

9. Question 1 · part a.v · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part a.v only.

Figure 2 is a financial extract from a gym equipment business that supplies *Four Fitness*.

	€
Total revenue	132 165
Total labour costs	54 000
Total material costs	17 000
Other costs	17 400

Figure 2

(vi) Which **one** of the following statements from **Figure 2** correctly applies to the gym equipment business?

Select **one** answer. (1)

- ☒ **A** It made a loss of €88 400
- ☒ **B** It made a loss of €61 165
- ☒ **C** It made a profit of €43 765
- ☒ **D** It made a profit of €78 165

(b) Define the term **trade bloc**. (1)

(c) Define the term **job production**. (1)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

6

P 7 8 7 9 4 R A 0 6 2 0

9. Question 1 · part a.v · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

Practice workbook · Break-even: meaning, charts and usefulness

Break-even point, reading break-even charts, effects of price and cost changes, and the usefulness and limitations of break-even analysis.

12 question parts: 1 worked-example retry and 11 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

OLevels.com SCHOOL

Type ID: BUS-S3-20

1. Question 2 · part d · 3 marks

2025 NOV · Paper 02

Worked-example retry · Attempt part d only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

2 (a) State **one** reason why *Samsung* may need long-term finance.

(1)

(b) State **one** reason why quality control is a benefit to *Samsung*.

(1)

(c) Explain **one** advantage to a business of having a social objective.

(3)

OLevels.com SCHOOL

P 7 8 9 7 1 A 0 9 2 0

1. Question 2 · part d · 3 marks

2025 NOV · Paper 02

Worked-example retry · Attempt part d only.

(d) Explain **one** limitation of a break-even chart.

(3)

(e) Explain **one** benefit to a business of being located within a trading bloc.

(3)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

P 7 8 9 7 1 A 0 1 0 2 0

1. Question 2 · part d · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

2. Question 1 · part a.iv · 1 mark

2019 JUN · Paper 02

Further practice · Attempt part a.iv only.

1 *Tata Motor Company* began trading in 1868, and is now part of a large group of companies that is estimated to be worth $100 billion. *Tata Motor Company* manufactures a wide range of cars, buses and trucks. It is India's largest maker of vehicles with manufacturing centres in many countries including Korea, Italy and the UK.

One of the main aims of *Tata Motor Company* is to produce goods that the public want and need. It is currently working on electric cars that are more environmentally friendly. *Tata Motor Company* plays an active role in community development such as building schools, houses and investing in the health and welfare of local people.

(Source adapted from: https://www.tatamotors.com/about-us/)

(a) (i) Which **one** of the following is an external source of finance?

(1)

- ☒ **A** Retained profit
- ☒ **B** Selling assets
- ☒ **C** Sales revenue
- ☒ **D** Share capital

(ii) Which **one** of the following forms of discrimination is covered by legislation?

(1)

- ☒ **A** Ability
- ☒ **B** Age
- ☒ **C** Ethical
- ☒ **D** Political

(iii) Which **one** of the following could be used to gather data for a business?

(1)

- ☒ **A** Market research
- ☒ **B** Market orientation
- ☒ **C** Market segmentation
- ☒ **D** Market place

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

2. Question 1 · part a.iv · 1 mark

2019 JUN · Paper 02

Further practice · Attempt part a.iv only.

(iv) In a break-even graph, the break-even point is when:

(1)

- ☒ **A** total costs and fixed costs are the same
- ☒ **B** fixed costs and variable costs are the same
- ☒ **C** total costs and revenue are the same
- ☒ **D** fixed costs and revenue are the same

Figure 1 gives details of one of the many suppliers of tyres to *Tata Motor Company*.

Production each month	2,400
Average price per tyre	€27
Variable costs per tyre	€12
Fixed costs per month	€6 000

Figure 1

(v) What are the monthly total costs for the business?

(1)

- ☒ **A** €8 412
- ☒ **B** €34 800
- ☒ **C** €74 400
- ☒ **D** €204 000

A customer in Germany wishes to buy a Tata Nano car from India. The cost of this vehicle is 465 000 Indian Rupees (RS). The exchange rate is €1.00 = RS78

(vi) What would the German customer pay to the nearest euro for the car?

(1)

- ☒ **A** €3 621
- ☒ **B** €4 650
- ☒ **C** €5 962
- ☒ **D** €36 270

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
OLevels.COM SCHOOL

P 5 9 9 3 0 R A 0 4 1 6

2. Question 1 · part a.iv · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

3. Question 1 · part a.iv · 1 mark

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part a.iv only.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS A

1 *Can Culleretes* is a restaurant based in the Spanish city of Barcelona. Opening in 1786 it is the second oldest restaurant in Spain. It has been run by the Agut-Manubens family since 1958 and serves a variety of Mediterranean food. Sisters Montserrat and Alicia are co-owners of the restaurant with six members of the family working for them. The restaurant is near to popular tourist attractions and close to many other restaurants. It opens for lunch and dinner only.

(a) (i) Which **one** of the following could immediately improve cash flow?

Select **one** answer.

(1)

- ☒ **A** Allow customers to pay later
- ☒ **B** Launch an advertising campaign
- ☒ **C** Increase inventory of raw materials
- ☒ **D** Pay suppliers later

(ii) Which **one** of the following is an example of primary market research?

Select **one** answer.

(1)

- ☒ **A** Internet
- ☒ **B** Postal survey
- ☒ **C** Newspaper
- ☒ **D** Government report

(iii) Which **one** of the following is a fixed cost?

Select **one** answer.

(1)

- ☒ **A** Rent
- ☒ **B** Packaging
- ☒ **C** Weekly wages
- ☒ **D** Raw materials

OLevels.com SCHOOL

3. Question 1 · part a.iv · 1 mark

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part a.iv only.

(iv) Which **one** of the following is used to calculate the break-even point?

Select **one** answer.

(1)

- ☒ **A** Fixed costs × (selling price + variable costs)
- ☒ **B** Fixed costs × (selling price – variable costs)
- ☒ **C** Fixed costs ÷ (selling price + variable costs)
- ☒ **D** Fixed costs ÷ (selling price – variable costs)

For its Winter menu *Can Culleretes* buys 10 kilograms (kg) of salmon from Scotland every week at a cost of £19.17 per kilogram.

In November 2021 the exchange rate was £1 = €1.17

(v) Which **one** of the following is the total cost in euros of buying a two week supply of salmon?

Select **one** answer.

(1)

- ☒ **A** €191.70
- ☒ **B** €224.29
- ☒ **C** €383.40
- ☒ **D** €448.58

Can Culleretes buys its prawns from a local fishmonger at a cost of €11.50 a kilogram. It is then sold to customers for €13.70 a kilogram.

(vi) What is the markup on a kilogram of prawns?

Select **one** answer.

(1)

- ☒ **A** 11.5%
- ☒ **B** 13.7%
- ☒ **C** 19.1%
- ☒ **D** 23.0%

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

P 7 0 7 3 6 A 0 4 2 0

3. Question 1 · part a.iv · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

4. Question 1 · part b · 1 mark

2022 JUN · Paper 02

Further practice · Attempt part b only.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS A

1 The *LEGO* Group is a privately-owned business in Denmark. The business was founded in 1932 by the Kristiansen family. The family still owns it. The name *LEGO* is an abbreviation of two Danish words, 'leg godt' which means 'play well'. It is now one of the world's largest manufacturers of toys with 15 factories and over 18,000 employees around the world.

LEGO manufactures toys, games and art materials for boys and girls of all ages, and products from films such as Star Wars and Harry Potter. It believes that children are the role models of the future and playing with *LEGO* can support children in a developing and complex world.

(a) (i) Which **one** of the following shows money coming in and money going out of a business?

Select **one** answer.

(1)

- ☒ **A** A mortgage
- ☒ **B** Break-even
- ☒ **C** Cash flow
- ☒ **D** Profit and loss

(ii) Which **one** of the following could a person complete when applying for a job?

Select **one** answer.

(1)

- ☒ **A** Application form
- ☒ **B** Shortlisting
- ☒ **C** Job description
- ☒ **D** Person specification

OLevels.COM SCHOOL

4. Question 1 · part b · 1 mark

2022 JUN · Paper 02

Further practice · Attempt part b only.

Figure 1 shows financial information for one of *LEGO*'s suppliers in Danish Krone (DKK).

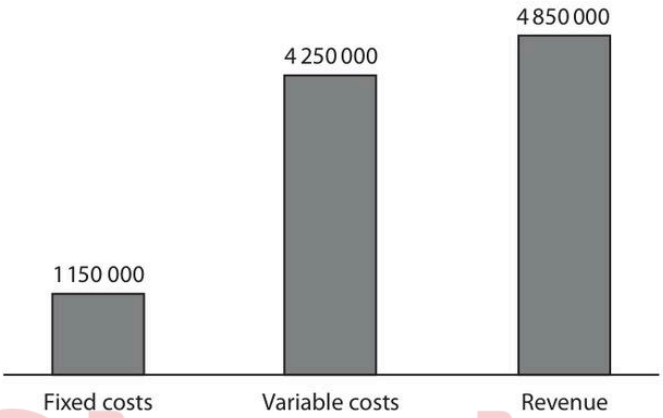


Figure 1

(iii) Which **one** of the following is the correct statement?

Select **one** answer.

(1)

☒ **A** Total costs of 10 250 000

☒ **B** Cash inflow of 3 100 000

☒ **C** Loss of 550 000

☒ **D** Profit of 600 000

(iv) Which **one** of the following is a benefit of being a franchisee?

Select **one** answer.

(1)

☒ **A** Being able to choose your own suppliers

☒ **B** Selling an established brand

☒ **C** Not having to pay interest on a bank loan

☒ **D** Having complete control of the business

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

P 6 9 5 5 1 A 0 4 2 0

4. Question 1 · part b · 1 mark

2022 JUN · Paper 02

Further practice · Attempt part b only.

LEGO's revenue in 2019 was 38.5 billion DKK. In 2020 it was 40.81 billion DKK.

(v) Which **one** of the following is the percentage increase from 2019 to 2020?

Select **one** answer.

(1)

- ☒ **A** 0.06%
- ☒ **B** 1.06%
- ☒ **C** 2.31%
- ☒ **D** 6%

(vi) Which **one** of the following functional areas could help employees who had a problem with their wage?

Select **one** answer.

(1)

- ☒ **A** Production
- ☒ **B** Finance
- ☒ **C** Marketing
- ☒ **D** Sales

(b) Define the term **break-even**.

(1)

(c) Define the term **public corporation**.

(1)

(d) State **one** benefit for *LEGO* of having a short span of control.

(1)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

4. Question 1 · part b · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

5. Question 1 · part a.vi · 1 mark

2023 JUN · Paper 02

Further practice · Attempt part a.vi only.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

1 *IKEA* is a well-known home furniture retailer with stores throughout the world. It was started in 1943 by Ingvar Kamprad when he was given some money by his father for doing well at school. He wanted to produce furniture at a price that people could afford to buy.

He realised that transporting furniture to customers was difficult as goods were often damaged. He developed flat packs to avoid damage. A flat pack contained all the materials needed to self-assemble a table, a chair or a bed.

All *IKEA* stores are run as franchises.

(a) (i) Which **one** of the following is a financial business objective?

Select **one** answer.

(1)

- ☒ **A** Challenge
- ☒ **B** Social objectives
- ☒ **C** Survival
- ☒ **D** Personal satisfaction

(ii) Which **one** of the following is an advantage to a business of using venture capital?

Select **one** answer.

(1)

- ☒ **A** It decreases access to other sources of finance
- ☒ **B** It keeps ownership in the business
- ☒ **C** It improves public relations
- ☒ **D** It can receive expert advice

OLevels.COM SCHOOL

5. Question 1 · part a.vi · 1 mark

2023 JUN · Paper 02

Further practice · Attempt part a.vi only.

A Canadian supplier of timber charges *IKEA* $19.75 Canadian Dollars (CAD) per load.

The exchange rate is $1 CAD = 6.58 Swedish Krona (SEK).

(iii) Which **one** of the following would be the cost to *IKEA* for 1,000 loads in Swedish Krona?

Select **one** answer.

(1)

- ☒ **A** 151.98 SEK
- ☒ **B** 3 001.52 SEK
- ☒ **C** 19 750.00 SEK
- ☒ **D** 129 955.00 SEK

An *IKEA* dining table costs *IKEA* 3 800 SEK to make. The table sells for 4 400 SEK.

(iv) Which **one** of the following is the correct markup?

Select **one** answer.

(1)

- ☒ **A** 1.16%
- ☒ **B** 13.64%
- ☒ **C** 15.79%
- ☒ **D** 115.79%

OLevels.com SCHOOL

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

5. Question 1 · part a.vi · 1 mark

2023 JUN · Paper 02

Further practice · Attempt part a.vi only.

Figure 1 is a diagram of a product life cycle.

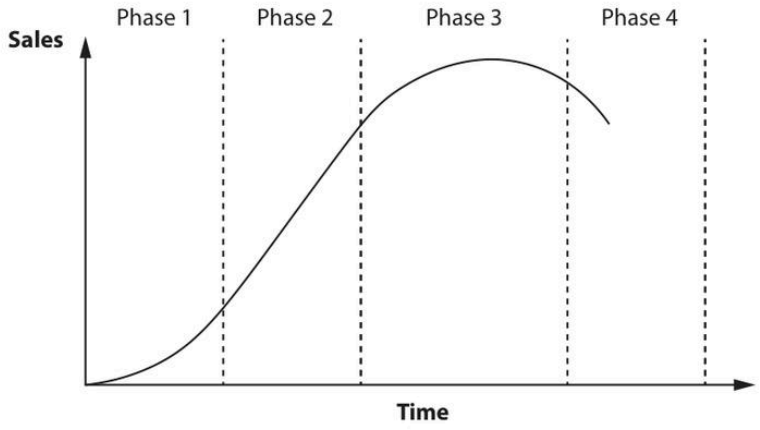


Figure 1

(v) Which **one** of the following is Phase 3 of the product life cycle?

Select **one** answer.

(1)

- ☒ **A** Decline
- ☒ **B** Growth
- ☒ **C** Introduction
- ☒ **D** Maturity

(vi) Which **one** of the following are equal in a break-even graph?

Select **one** answer.

(1)

- ☒ **A** Fixed costs and variable costs
- ☒ **B** Fixed costs and revenue
- ☒ **C** Total costs and fixed costs
- ☒ **D** Total costs and revenue

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

5. Question 1 · part a.vi · 1 mark

2023 JUN · Paper 02

Further practice · Attempt part a.vi only.

(b) Define the term **person specification**.

(1)

(c) Define the term **quality control**.

(1)

(d) State **one** reason why *IKEA* provides induction training for new employees.

(1)

OLevels.com SCHOOL

Figure 2 is an extract from *IKEA*'s Statement of Income for 2020.

	Euros (€) millions
Revenue	37 368
Cost of sales and services	25 643
Gross profit	11 725

Figure 2

(e) Calculate, to two decimal places, the gross profit margin for 2020. You are advised to show your working.

(2)

.....%

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

6

P 7 2 9 5 3 R A 0 6 2 0

5. Question 1 · part a.vi · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

6. Question 1 · part a.vi · 1 mark

2023 NOV · Paper 02

Further practice · Attempt part a.vi only.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

1 Most people recognise Heinz for the phrase '57 varieties' even though it now produces many more than the original 57 varieties. H J Heinz, the founder of the Heinz business, believed the phrase sounded lucky.

Kraft Heinz is a world-wide producer of food products. It was formed from the merger of Kraft Foods and Heinz in 2015. This created the third largest food and drinks business in the USA and the fifth largest food and drinks business in the world.

Kraft Heinz has over 24 different brands, including Greenseas in Australia and Nutri+Plus in New Zealand. America has the largest number of brands from Maxwell House to Cool Whip. *Kraft Heinz* produces many different products including tomato sauce, 'Mac&Cheese', pasta and its famous baked beans that are used and eaten by many people.

Kraft Heinz uses many methods to advertise its products. These include posters, billboards and leaflets in supermarkets.

(a) (i) Which **one** of the following is an example of primary market research?

Select **one** answer.

(1)

- ☒ **A** Published government statistics
- ☒ **B** Magazine article
- ☒ **C** Internet research
- ☒ **D** Focus groups

(ii) Which **one** of the following is an example of external communication?

Select **one** answer.

(1)

- ☒ **A** A presentation by the chairperson to its employees
- ☒ **B** Sending a customer details of a special offer
- ☒ **C** A departmental meeting
- ☒ **D** Training sessions for new employees

OLevels.com SCHOOL

6. Question 1 · part a.vi · 1 mark

2023 NOV · Paper 02

Further practice · Attempt part a.vi only.

On 13 September 2022 the share price of *Kraft Heinz* in America at 10.00 am was $36.55 and at 4.00 pm it was $35.06.

(iii) Which **one** of the following is the percentage decrease in the share price?

Select **one** answer.

(1)

- ☒ **A** 1.49%
- ☒ **B** 1.96%
- ☒ **C** 4.08%
- ☒ **D** 4.25%

Kraft Heinz uses price promotions to encourage customers to purchase more of its products. The price of a tin of baked beans in the US is $0.54. If 12 tins are purchased the price is reduced by 12.5%.

(iv) Which **one** of the following is the price of 12 tins of baked beans with the 12.5% promotional price discount?

Select **one** answer.

(1)

- ☒ **A** $5.67
- ☒ **B** $6.48
- ☒ **C** $56.25
- ☒ **D** $81.00

(v) Which **one** of the following would be a long-term source of finance for a sole trader?

Select **one** answer.

(1)

- ☒ **A** Trade credit
- ☒ **B** Overdraft
- ☒ **C** Personal savings
- ☒ **D** Share capital

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

Olevels.com SCHOOL

6. Question 1 · part a.vi · 1 mark

2023 NOV · Paper 02

Further practice · Attempt part a.vi only.

(vi) Which **one** of the following is the break-even point?

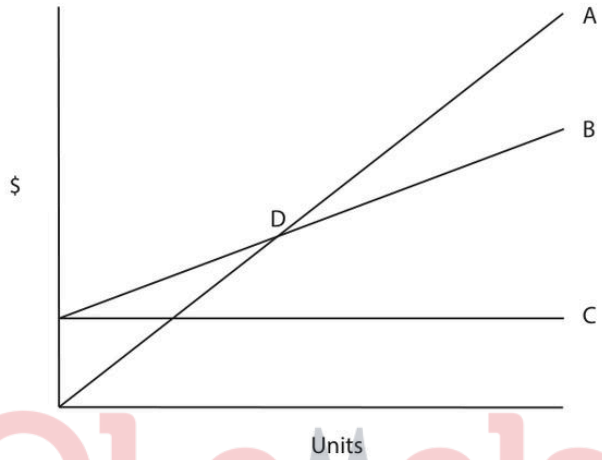


Figure 1

Select **one** answer. (1)

- ☒ **A**
- ☒ **B**
- ☒ **C**
- ☒ **D**

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

P 7 4 6 3 5 A 0 5 2 4

6. Question 1 · part a.vi · 1 mark

2023 NOV · Paper 02

Further practice · Attempt part a.vi only.

(b) Define the term **labour intensive production**.

(1)

(c) Define the term **trade bloc**.

(1)

(d) State **one** reason why *Kraft Heinz* prefers to train its employees using on-the-job training.

(1)

OLevels.com SCHOOL

In North America, a *Kraft Heinz* employee is paid a salary of $15 750. If employees reach their production target for 'Mac&Cheese' they receive a bonus of 14%.

(e) Calculate the total pay an employee would receive once the bonus is added to their salary. You are advised to show your working.

(2)

$.....

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

6

P 7 4 6 3 5 A 0 6 2 4

6. Question 1 · part a.vi · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

7. Question 1 · part a.iii · 1 mark

2024 NOV · Paper 01

Further practice · Attempt part a.iii only.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

1 *Saha* is a small business in Türkiye (formerly known as Turkey) that opened in 2020 with 15 employees. It designs and manufactures robots which are used in hospitals, hotels and restaurants. In hospitals its robots are used to move medical supplies between departments. In hotels and restaurants, the robots are used to welcome customers as they arrive and deliver food and drinks to hotel rooms and restaurant tables. *Saha* provides a seven day a week customer service for all businesses buying its robots.

Many new businesses are entering the global robot market and are competing for market share. Competitors in Türkiye include *NIO, Zoox* and *Vention*.

Saha has ambitious growth plans and has started to design robots that will be used in the home to help people with cleaning, shopping, security and entertainment. It aims to become a multinational business within five years to manufacture robots in all continents of the world.

(a) (i) Which **one** of the following is a financial method used to motivate employees?

Select **one** answer. (1)

- ☒ **A** Job enrichment
- ☒ **B** Job rotation
- ☒ **C** Autonomy
- ☒ **D** Remuneration

(ii) Which **one** of the following is an example of secondary research?

Select **one** answer. (1)

- ☒ **A** Government reports
- ☒ **B** Surveys
- ☒ **C** Focus groups
- ☒ **D** Observations

OLevels.com SCHOOL

7. Question 1 · part a.iii · 1 mark

2024 NOV · Paper 01

Further practice · Attempt part a.iii only.

(iii) Which **one** of the following would increase the break-even point?

Select **one** answer.

(1)

- ☒ **A** A decrease in the fixed costs
- ☒ **B** An increase in the variable costs
- ☒ **C** An increase in the selling price
- ☒ **D** A decrease in total costs

(iv) Which **one** of the following is provided by a person applying for a job?

Select **one** answer.

(1)

- ☒ **A** Job description
- ☒ **B** Curriculum vitae (CV)
- ☒ **C** Personal specification
- ☒ **D** Disciplinary and grievance procedures

Figure 1 shows an extract from a statement of comprehensive income in 2023.

	£
Sales	90 000
Cost of sales	11 000
Gross profit	79 000
Operating expenses	18 000

Figure 1

(v) Which **one** of the following is the operating profit in 2023?

Select **one** answer.

(1)

- ☒ **A** £29 000
- ☒ **B** £79 000
- ☒ **C** £72 000
- ☒ **D** £61 000

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

7. Question 1 · part a.iii · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

8. Question 1 · part a.i · 1 mark

2024 NOV · Paper 02

Further practice · Attempt part a.i only.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

1 The first *Premier Inn* hotel was opened in 1987. *Premier Inn* now has over 820 hotels in the UK, United Arab Emirates (UAE) and India with over 83,000 rooms. It has recently expanded by opening the first *Premier Inn* in Germany and has plans to open more in other countries.

The majority of the hotels have restaurants with facilities for guests to buy meals and drinks.

(a) (i) Which **one** of the following is the break-even point on a break-even chart?

Select **one** answer.

(1)

- ☒ **A** When fixed costs and variable costs are the same
- ☒ **B** When total costs and fixed costs are the same
- ☒ **C** When fixed costs and total revenue are the same
- ☒ **D** When total costs and total revenue are the same

(ii) Which **one** of the following is a benefit to a franchisee?

Select **one** answer.

(1)

- ☒ **A** The franchisee can buy supplies from any supplier
- ☒ **B** The franchisee is given support from the franchisor
- ☒ **C** The franchisee is guaranteed a set wage
- ☒ **D** The franchisee has total control

(iii) Which **one** of the following is an advantage of job production when compared to other methods of production?

Select **one** answer.

(1)

- ☒ **A** Workers will be better motivated
- ☒ **B** Production speeds will be faster
- ☒ **C** Unit costs will be the same
- ☒ **D** Less training will be needed

OLevels.COM SCHOOL

8. Question 1 · part a.i · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

9. Question 3 · part d · 6 marks

2019 JUN · Paper 01

Further practice · Attempt part d only.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

3 *Backyard Shoez* is analysing its financial position before it begins selling shoes to men and children.

(a) Define the term **profit**.

(1)

.....

.....

(b) Outline **one** impact on *Backyard Shoez* if interest rates increase.

(2)

.....

.....

.....

.....

Backyard Shoez's monthly fixed costs are 100 000 Ks with a variable cost of 3 500 Ks for a pair of shoes, at a selling price of 4 300 Ks.

(c) Calculate the break-even point. You are advised to show your working.

(2)

.....Ks

OLevels.COM — SCHOOL —

9. Question 3 · part d · 6 marks

2019 JUN · Paper 01

Further practice · Attempt part d only.

(d) Analyse the benefits to *Backyard Shoez* of using break-even analysis to plan the launch of its new shoes for men and children.

(6)

OLevels.com SCHOOL

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

9. Question 3 · part d · 6 marks

2019 JUN · Paper 01

Further practice · Attempt part d only.

In order to start selling shoes to men and children *Backyard Shoez* will need additional finance.

The owners are considering the following two options:

Option 1: crowdfunding

Option 2: overdraft.

(e) Justify which **one** of these options *Backyard Shoez* should use.

(9)

(Total for Question 3 = 20 marks)

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

9. Question 3 · part d · 6 marks · Working and answer

Working and answer

OLevels.com SCHOOL

10. Question 3 · part d · 6 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part d only.

3 *HRMW* employs staff to design the products it manufactures. The aim is to add features so that the products are better than any others on the market.

(a) Define the term **e-tailers**.

(1)

(b) Outline **one** reason why *HRMW* uses robotics in the production of its goods.

(2)

If *HRMW* produce tennis racquets with the following costs:

Fixed costs = 300 000 Rupees

Variable costs = 3 000 Rupees

Sale price = 5 000 Rupees

(c) Calculate the number of tennis racquets that would have to be made to break-even. You are advised to show your working.

(2)

..... Tennis racquets

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

10. Question 3 · part d · 6 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part d only.

(d) Analyse the limitations for *HRMW* of using break-even charts when planning the manufacture of tennis racquets.

(6)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

10. Question 3 · part d · 6 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part d only.

Research and development (R&D) of tennis racquets before they are produced is essential and can be expensive. To cover these costs *HRMW* is considering the following two options:

Option 1: retained profit

Option 2: selling assets.

(e) Justify which **one** of these two options *HRMW* should use.

(9)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

10. Question 3 · part d · 6 marks · Working and answer

Working and answer

OLevels.com SCHOOL

11. Question 3 · part d · 6 marks

2021 JUN · Paper 01

Further practice · Attempt part d only.

3 (a) Define the term **remuneration**.

(1)

(b) Outline **one** reason why *NOF* would choose to use seasonal staff when harvesting its products.

(2)

NOF is looking to expand its product range by making and selling tubs of ice cream.

A tub of ice cream will sell for £2.50.

Variable costs will be £1.10 per tub of ice cream with fixed costs of £77 per day.

(c) Calculate the number of tubs of ice cream *NOF* will have to sell each day to break-even. You are advised to show your working.

(2)

.....Tubs of ice cream

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

11. Question 3 · part d · 6 marks

2021 JUN · Paper 01

Further practice · Attempt part d only.

(d) Analyse how useful break-even calculations can be for *NOF* when deciding whether to include ice cream in its product range.

(6)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

11. Question 3 · part d · 6 marks

2021 JUN · Paper 01

Further practice · Attempt part d only.

NOF is looking to increase the number of visitors to the farm. It will need to carry out some research as to what potential visitors will want.

To do this *NOF* is considering two options:

Option 1: handing out questionnaires at local retailers

Option 2: using the internet to research other farms.

(e) Justify which **one** of these two options *NOF* should choose.

(9)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

P 6 6 4 7 2 A 0 1 4 2 0

11. Question 3 · part d · 6 marks · Working and answer

Working and answer

OLevels.com SCHOOL

12. Question 3 · part d · 6 marks

2023 JUN · Paper 01

Further practice · Attempt part d only.

3 (a) Define the term **fringe benefits**.

(1)

(b) Outline **one** way *Irsi Chocolatier* could keep customer loyalty.

(2)

Irsi Chocolatier has current assets of €26 000 and current liabilities of €14 852.

(c) Calculate, to two decimal places, the current ratio. You are advised to show your working.

(2)

.....:1

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

P 7 2 6 7 0 R A 0 1 2 2 0

12. Question 3 · part d · 6 marks

2023 JUN · Paper 01

Further practice · Attempt part d only.

Irsi Chocolatier will need to consider many factors if it wants to introduce its new product of chocolate lollipops.

(d) Analyse the limitations for *Irsi Chocolatier* of using break-even charts to decide whether it should sell the new product.

(6)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

12. Question 3 · part d · 6 marks

2023 JUN · Paper 01

Further practice · Attempt part d only.

Irsi Chocolatier is planning to expand its delivery service and opening hours. It is anticipating this will lead to an increased demand for its products. *Irsi Chocolatier* is looking to recruit and train one new employee and is considering two options:

Option 1: train the new employee on-the-job

Option 2: train the new employee off-the-job.

(e) Justify which **one** of these two options *Irsi Chocolatier* should choose.

(9)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

12. Question 3 · part d · 6 marks · Working and answer

Working and answer

OLevels.com SCHOOL